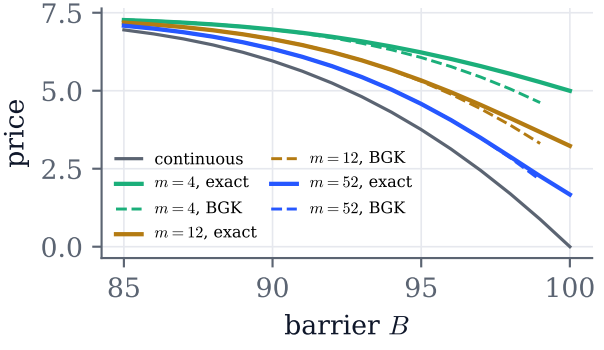
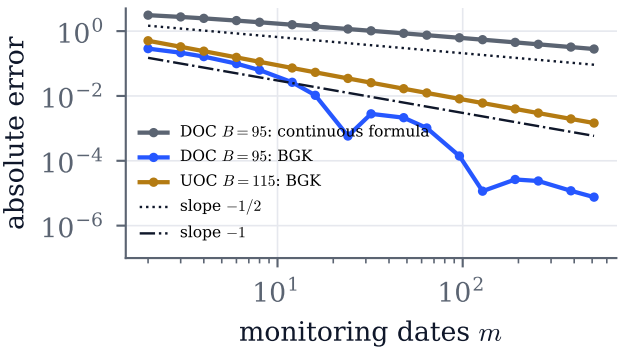

discrete down-and-out call
price
barrier B
7.5
5.0
2.5
0.0
85
90
95
100
continuous
$m = 4$, exact
$m = 4$, BGK
$m = 12$, exact
$m = 12$, BGK
$m = 52$, exact
$m = 52$, BGK


errors against the exact discrete price
absolute error
monitoring dates m
10^{0}
10^{-2}
10^{-4}
10^{-6}
10^{1}
10^{2}
DOC $B = 95$: continuous formula
DOC $B = 95$: BGK
UOC $B = 115$: BGK
slope $-1/2$
slope -1